

Adapting Transformational and Ethical Leadership to the AI Era:

Lessons from Netflix

Caroline Zirakzadeh

IFM Business School, August 2025

Abstract:

Artificial intelligence is revolutionizing leadership practice by changing how decisions are made, teams are managed, and value is created. This paper examines how Transformational Leadership and Ethical Leadership, as defined by Northouse (2025), can be adapted to the demands of the AI-driven digital era. It argues that transformational leaders must integrate technological foresight and adaptability into their vision while they keep the human element in the center, and ethical leaders must expand their scope to include algorithmic accountability and digital trust. Algorithmic accountability is defined here as the responsibility of leaders to ensure AI systems are explainable, fair, and aligned with human values. Digital empathy is defined as the ability to understand and respond to the needs, emotions, and experiences of stakeholders within digital and AI environments. These competencies are a shift from traditional models towards more collaborative, technology-augmented approaches that require both technical literacy and enhanced emotional intelligence. Netflix, under co-CEO Ted Sarandos, offers a case study of combining innovation with responsibility; it shows how AI can improve storytelling without replacing human creativity. By linking theory with practice, this paper presents a practical guidance for leaders seeking to balance technological progress and ethical integrity.

Keywords: leadership – AI – ethical leadership – transformational leadership – digital empathy – algorithmic accountability - Netflix

Introduction

The rapid integration of artificial intelligence into organizational life has transformed leadership from a largely human-centric activity into one that requires proficiency of both human and technological domains. Algorithms now influence hiring, promotions, customer interaction, and even strategic planning, while remote collaboration and digital

communication have changed how leaders must interface with teams. Existing leadership theories remain relevant but must be adapted to address the unique challenges of the AI era, including transparency in decision-making, ethical technology deployment, and maintaining trust in machine-mediated processes.

Transformational Leadership, with its emphasis on vision, innovation, and development of followers (Northouse, 2025, pp. 195–201), provides a framework for inspiring organizational change and leveraging AI for strategic advantage. Ethical Leadership, focused on integrity, fairness, and moral responsibility (Northouse, 2025, pp. 379–381), ensures that this change respects the rights of stakeholder and societal values. Together, these theories represent a complementary model: transformational leadership drives progress, while ethical leadership ensures that principles guide the progress. This two-pronged approach is essential in the AI era, where innovation without ethics may erode trust, and ethics without innovation may lead to becoming irrelevant.

Today's challenge of leadership has nothing to do with choosing between human intuition and algorithmic precision, but with balancing them to create outcomes that neither one could achieve alone. This union demands new forms of literacy: understanding how AI systems make decisions, recognizing their limitations, and maintaining human oversight in critical processes.

Theoretical Foundations

Transformational Leadership requires by the ability to create an appealing vision, inspire followers to exceed expectations, encourage innovation, and support individual development (Northouse, 2025, pp. 195–201). It performs best in contexts of rapid change, where adaptability and the integration of new technologies are necessary. Ethical Leadership emphasizes honesty, fairness, respect, and the welfare of followers and stakeholders (Northouse, 2025, pp. 379–381). It involves not only personal integrity but also shaping systems and cultures that promote ethical behavior.

What distinguishes AI-era leadership from previous technological disruptions is the speed and scope of change, as well as the unfortunate opacity of many AI systems that make decisions previously reserved for human judgment. Leaders must therefore develop 'technological fluency': it's the ability to understand AI capabilities and limitations well enough to guide their deployment in a responsible manner.

In the AI context, these theories overlap in important ways. Transformational Leadership

provides the energy and direction to integrate AI in organizational strategy, while Ethical Leadership ensures that AI use is consistent with values (company, society, law), does no harm, and fosters public trust. Leaders need to manage the human–technology interface with digital empathy, which involves understanding and responding to stakeholder needs and emotions in environments shaped by AI. They must also ensure algorithmic accountability, taking responsibility to make AI systems explainable, free from harmful bias, and aligned with organizational and ethical standards (Jobin, Ienca, & Vayena, 2019).

Netflix Case Study: Using Transformational and Ethical Leadership in the AI Era

Netflix illustrates how these leadership theories can be adapted for the AI age. Under co-CEO Ted Sarandos, the company has integrated AI into its recommendation algorithms, content production planning, and streaming infrastructure. Sarandos' vision of "entertainment without borders" reflects transformational leadership's focus on an inspiring, future-oriented mission. By investing in international productions such as *Casa de Papel* and *Squid Game*, and using AI to bring them to global audiences, Netflix shows adaptability and cross-disciplinary innovation.

After 2017, as Netflix scaled original content spending to \$8 billion annually (Spangler, 2017), Sarandos implemented a dual hiring track: on the one hand, engineers with advanced AI and data science expertise, and on the other hand, creatives with strong cross-cultural storytelling skills. This ensured that AI-led insights informed production, while human-led cultural vision shaped final decisions and outcomes (Gomez-Uribe & Hunt, 2015; Morris, 2023). The approach reflected Netflix's belief that technology and creativity must evolve in parallel within its "freedom and responsibility" culture (McCord, 2014).

Sarandos places the human element at the center of Netflix's technological strategy. As he explained, "We remain convinced that AI represents an incredible opportunity to help creators make films and series better, not just cheaper," Sarandos told financial analysts (Netflix Q2 2024 earnings call). When responding to a comment about AI's cost-saving potential, Sarandos emphasized that "the bigger opportunity" is making films "10 percent better" rather than "50 percent cheaper" (IndieWire, 2025). This statement captures the balance between efficiency and creativity that aligns with transformational leadership's principle of intellectual stimulation: using AI to enhance human output rather than replace it completely.

From an ethical leadership perspective, Netflix addresses algorithmic accountability through ongoing evaluation of its recommendation systems. While proprietary

algorithms remain confidential, the company involves regulators, creators, and internal review processes to ensure that personalization does not narrow viewer choice or reinforce harmful biases (Gomez-Uribe & Hunt, 2015). The company's "freedom and responsibility" culture further supports ethical practice by granting teams autonomy while enforcing strict privacy compliance, including adherence to GDPR standards (McCord, 2014).

The Netflix example shows how transformational leadership can drive technological integration and adaptability, while ethical leadership safeguards trust and ensures that AI serves both organizational and societal goals.

Implications for Practice

Leaders seeking to integrate AI responsibly can draw key lessons from the combination of transformational and ethical leadership as demonstrated in the Netflix case:

1. Integrate AI into a clear and inspiring vision that enhances human capabilities and supports organizational purpose.
2. Establish systems of algorithmic accountability to ensure AI outcomes are explainable, fair, and aligned with ethical standards.
3. Develop digital empathy to maintain trust and engagement with all the stakeholders affected by AI processes.
4. Foster adaptability by encouraging cross-functional teams to experiment with technology in ways that advance both performance and values
5. Establish continuous learning protocols for AI literacy, ensuring teams (and leaders!) stay current with technological capabilities and limitations.
6. Create feedback mechanisms that monitor both the effectiveness and ethical impact of AI implementations, allowing for course corrections when systems produce unintended consequences.

Conclusion

The rise of AI has introduced unprecedented opportunities and challenges for leadership. Transformational Leadership provides the vision and adaptability to harness AI for innovation, while Ethical Leadership ensures that such innovation is implemented responsibly. Together, they offer a framework that balances technological progress with human-centered values. Netflix's approach under Ted Sarandos shows how leaders can achieve this balance, using AI to enhance creativity while maintaining transparency, fairness, and trust. As AI continues to evolve, leaders must not only keep pace with technological change but also set the ethical standards by which it is governed.

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